EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Gattaran was founded on May 20, 1963, during the Spanish Expedition to the Philippines, through the leadership of Juan De Salcedo. It was discovered as a tribal community, together with the Municipality of Buguey. And in 1877, by virtue of the Diocesan Order from the Bishop of Nueva Segovia, it was declared as the seat of civil government covering Dummun and Nassiping as the attached community, by the recommendation of Fray Francisco Suejos, O.P.

The Municipality is located at the center of the Province of Cagayan. It is approximately 66 kilometers from Tuguegarao City and 40 kilometers from Aparri. The mountain ranges on the east are a portion of the Sierra Madre Mountain and are bounded on the north by the Municipality of Lallo, west by the Municipality of Lasam and in the south by the Municipalities of Baggao and Alcala. It has 50 barangays and is classified as a 1st class municipality, with a land area of 70,750 hectares.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of Local Government Units to include not only the ability to create other sources of funds but also give them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Gattaran, Cagayan for CY 2020 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Gattaran, Cagayan for the year ended December 31, 2020, with comparative figures for CY 2019, are as follows:

Particulars	2020	2019	Increase (Decrease)
Financial Condition			
Total Assets	P598,307,112.17	P525,958,378.04	P 72,348,734.13

Total Liabilities	82,006,419.87	56,858,624.10	25,147,795.77
Total Government Equity	516,300,692.30	469,099,753.94	47,200,938.36
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	299,721,136.88	272,098,315.47	27,622,821.41
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	251,134,838.22	218,836,200.88	(32,298,637.34)
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	P309,468,236.00	P283,821,234.29	P25,647,001.71
Appropriations-Continuing	75,433,263.53	48,952,124.95	26,481,138.58
Allotments – Current	309,468,236.00	283,821,234.29	25,647,001.71
Allotments –Continuing	75,433,263.53	48,952,124.95	26,481,138.58
Obligations – Current	238,044,424.23	210,969,439.68	27,074,984.55
Obligations -Continuing	36,339,907.72	36,783,864.07	(443,956.35)
Funds Received from Other Agencies			
NGAs	P 7,554,294.00	P14,445,100.00	(6,890,806.00)
LGUs	50,000.00	-	50,000.00
NGO/POs	10,000.00	-	10,000.00
Others	100,000.00	-	100,000.00
Total	7,714,294.00	14,445,100.00	**(P6,730,806.00)**
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs	-	-	-
NGO/POs	-	-	-
Others	-	-	-
Total	-	-	-

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Gattaran for the year-ended December 31, 2020 due to the following:

1. The reliability of the balances of Property, Plant and Equipment accounts, and Investment Property, with a total carrying value of P354,257,631.18 and P12,466,773.69, respectively, remained not fully verifiable as to existence, condition and accountability due to non-taking up of the procedures for the "one-time cleansing" of PPE accounts as provided in COA Circular No. 2020-006 dated January 31, 2020, hence, resulted to the following: (a) Property, Plant and Equipment and Investment Property, with a total acquisition cost of P349,742,988.06 and P20,908,252.20, respectively, were not physically

counted; (b) Property, Plant and Equipment, with a total acquisition cost of P378,827,105.49, have unreconciled balances between the Statement of Financial Position and Report on Physical Count of PPE by P293,442,778.18; and (c) Property, Plant and Equipment, with a total carrying value of P86,415,045.67, have unreconciled balances between the Statement of Financial Position and PPE Lapsing Schedule by P6,158,884.18, which are not in keeping with Sections 266 and 322 of Volume I of the Government Accounting Manual for Local Government Units.

2. The reliability and correctness of the Cash in Bank-Local Currency account totaling to P211,386,288.33 could not be ascertained due to the: (a) non-submission of bank statements, which are considered integral support of the bank reconciliation statements; (b) non-preparation of Bank Reconciliation Statement for the Cash-in-Bank under Development Bank of the Philippines-General Fund, amounting to P125,858,752.36; and (c) Cash in Bank-Time Deposit amounting to P80,406.60 was not supported with documents that would identify its bank details and existence, which are not in accordance with Section 111 of Presidential Decree 1445 and Section 322 of Volume I of the Government Accounting Manual for Local Government Units. Thus, affect the fair presentation of the Cash-in-Bank account in the financial statements.

D. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. **The differences between the actual amounts of income and expenses in the Statement of Comparison of Budget and Actual Amounts and in Statement of Financial Performance were not accounted for the year ended December 31, 2020 due to the non preparation of the reconciliation between actual amounts on a comparable basis in the Notes to Financial Statements, which is not in accordance with Section 364 of the Government Accounting Manual for LGUs, thus, may affect the reliability of the financial statements.**

   We recommended that the Municipal Accountant comply with the preparation of the reconciliation of actual amounts on a comparable basis as presented in the Statement of Comparison of Budget and Actual amounts and in the Statement of Financial Performance for the year ended to provide clarity and understanding on the difference that may be noted between the components of the General Purpose Financial Statements.

2. **Goods, drugs and medicines, supplies, and materials purchased totaling to P32,632,139.11 were recorded as outright expenses, instead of initially recording the same to the appropriate inventory accounts. Likewise, the**

procedures and the preparation of the forms and reports on requisition, receipt, recording and issuances of inventory were not strictly observed, which is not in keeping with Sections 183 to 190, Volume I, Government Accounting Manual for Local Government Units. Hence, in the absence of these available controls, the inventories acquired/received may not be sufficiently monitored and safeguarded.

We recommended that the following be observed:

a. The Municipal Accountant, upon receipt of the AIR and other supporting documents, such as Purchase Orders, Delivery Receipts and/or Supplier's Invoice, draw a Journal Voucher to record the Inventories in the Journal of Procurements Received and in the Inventory Ledger Cards. In case of inventories acquired thru non-change transactions, the Report on Receipt of In-Kind Donations for Inventories shall be the basis for drawing the JV for the recognition of the Inventories in the books of accounts.

b. The Municipal General Services Officer submit to the Municipal Accountant the monthly Report of Supplies and Materials Issued, together with the supporting RIS, within five (5) days after the end of the month. Thereafter, the Municipal Accountant shall use this as a basis in drawing a JV to record the issuances.

c. The Municipal General Services Officer and Municipal Accountant strictly comply with the procedures on the preparation and maintenance of the various forms necessary to support, control and monitor the requisition, receipt and issuance of all inventory items, either acquired through procurement or donation.

3. **The continued existence of abnormal/negative balances of various accounts in the financial statements due to the possible error in the presentation of the effects of transactions, affects the reliability, accuracy and fair presentation of the same in the financial statements, which is not in conformity with Section 27 of the Philippine Public Sector Accounting Standards 1 and Section 322 of Volume I of the Government Accounting Manual for Local Government Units.**

   We recommended that the Municipal Accountant thoroughly review, study and analyze the journal entries made on the affected accounts and prepare the necessary adjusting entries in order to present fairly their balances in the Financial Statements.

4. **The unexpended balances of the Quick Respond Fund and Disaster Risk Reduction Management Fund – MOOE for the current year's appropriation were not transferred at year-end to the Special Trust Fund in the Trust Fund book, which is not in compliance with Section 21 of**

Republic Act No. 10121 and Item 5.1.10 of COA Circular No.2012-002 dated September 12, 2012. Hence, the accounts Trust Liabilities – DRRMF in the Trust Fund books and Transfer of Unspent Current Year DRRMF to Trust Fund account in the General Fund books were not recognized in the books of the LGU, which affects the fair presentation of accounts in the financial statements.

In addition, the unexpended balances totaling to P2,051,624.86 as of December 31, 2020 for transfer to the Special Trust Fund as disclosed in the Notes to Financial Statements could not be relied upon due to unverifiable unexpended balances for Disaster Risk Reduction Management Fund–MOOE and Capital Outlay in the 70% Mitigation Fund, which is not in accordance with the required presentation of LDRRMF in the financial statements.

We recommended that the Municipal Accountant transfer at year-end the unexpended balances of the QRF and DRRMF-MOOE to the Special Trust Fund under the account "Trust Liabilities-DRRMF" in the Trust Fund books pursuant to COA Circular No. 2012-002 and Section 21 of Republic Act No. 10121 and to present fairly the affected accounts in the Financial Statements.

In addition, present properly the available balance of the Mitigation Fund, as to MOOE and CO, in the Notes to FS to determine the correct amount of balance to be transferred to Special Trust Fund and appropriately categorize if programs/ projects/activities fall into MOOE or Capital Outlay.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	P31,200.00	-	-	P31,200.00	-
Current Years	-	-	-	-	-
Total	**P31,200.00**	-	-	**P31,200.00**	-
Charges					-
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Years' Audit Recommendations

Out of the 23 audit recommendations in the CY 2019 Annual Audit Report nine (9) were implemented, five (5) were partially implemented and nine (9) were not implemented and reiterated in Part II of this Report.